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Market Briefs Pro

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Good Morning, Pro Briefers!

On February 3rd, President Trump signed an executive order directing the U.S. Treasury to develop a sovereign wealth fund for the United States.

Definition: A sovereign wealth fund is a state-owned investment fund that manages a country's reserves.

For many American investors, this was their first time hearing about sovereign wealth funds, but this concept has been around for a while.

History lesson: Many countries have sovereign wealth funds, which have a big impact on U.S. exchanges.

This is where we've identified a Government Shift: Sovereign wealth funds have several goals, and each of them creates opportunities in U.S. markets.

- While it is impossible to know the exact goals or investment plans of a U.S. fund, we can look at existing funds and the opportunities they are already creating.

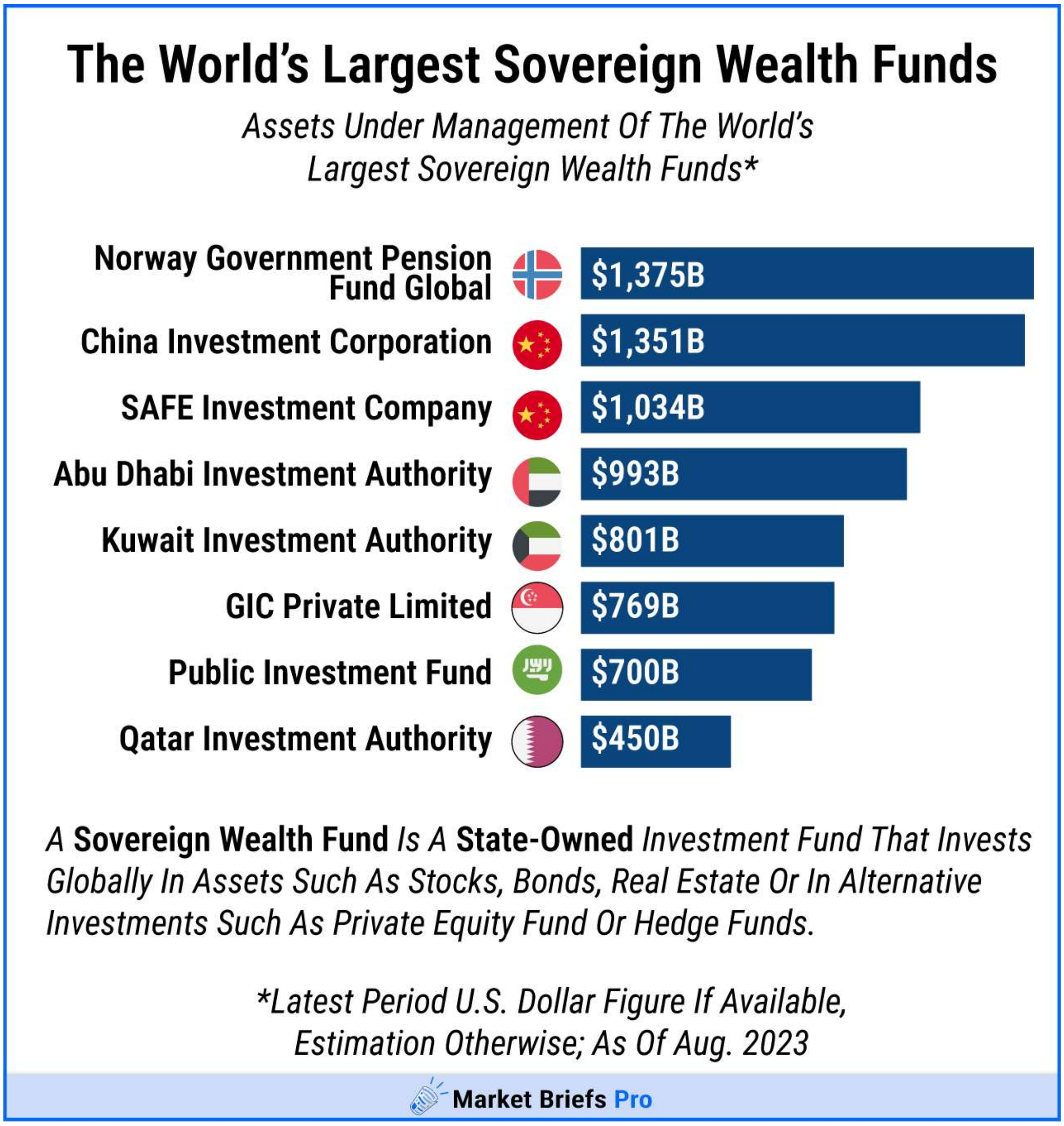
Today, we'll be showcasing opportunities being created by the Kingdom of Saudi Arabia's Public Investment Fund (PIF) and looking at how the U.S. might implement similar strategies.

It's a little complicated, but we'll try to keep it simple and show investors how tracking sovereign wealth funds presents unique investment opportunities.

We want your feedback: Tell us what you think about this edition of Market Briefs Pro by clicking here.

OVERVIEW

Sovereign Wealth Funds



Data via Statista

Sovereign wealth funds (or SWFs) typically have a primary objective of generating wealth for their nation of origin.

But that's not all they do.

Other common SWF objectives include:

- Expanding beyond the country's core industries.
- Infrastructure development.
- Geopolitical influence.

In English: SWFs are always looking to make money, but may make some risky investments for the sake of public image, or creating a more diverse portfolio.

Data via PIF

The Saudi PIF is the clearest example of this. In addition to wealth generation, the fund is looking to:

- Increase Saudi favorability among U.S. citizens.
- Develop transportation technology for Saudi use.
- Establish Saudi Arabia as a leader in emerging technologies.

To further these goals, it has made major investments in several small and mid-cap U.S. companies.

The PIF doesn't just invest - it's been known to adopt a struggling company and bring it back to profitability with a blank check.

What are the investment opportunities?

First off - we'll show how the PIF can boost share prices and help small companies become profitable.

Second - a U.S. SWF is likely to have similar goals - we can identify companies that have the potential to be targeted by a U.S. fund.

So let’s dive in!

ENTERTAINMENT

Investing in Public Opinion

As part of Saudi Arabia’s Vision 2030 initiative, the PIF is the largest contributor to its goal to enhance the country’s global image.

Definition: Vision 2030 is a list of economic and cultural goals for Saudi Arabia to accomplish by the year 2030.

It does this largely through PIF investments in the entertainment industry.

Why? In addition to entertainment being a lucrative industry, the PIF wants to cultivate a positive image through its investments.

Data via PIF & SEC

One of the most notable examples is the PIF launching a golf league, LIV Golf, to compete with the PGA Tour.

LIV has been known to offer famous golfers upwards of $300 million to compete in its league.

LIV Golf is a private organization, owned wholly by the PIF, but some of the fund's other investments are companies you've likely interacted with.

Take-Two Interactive (TTWO) is the company behind video game developer Rockstar Games - creators of the Grand Theft Auto series and three of the top-selling games of all time.

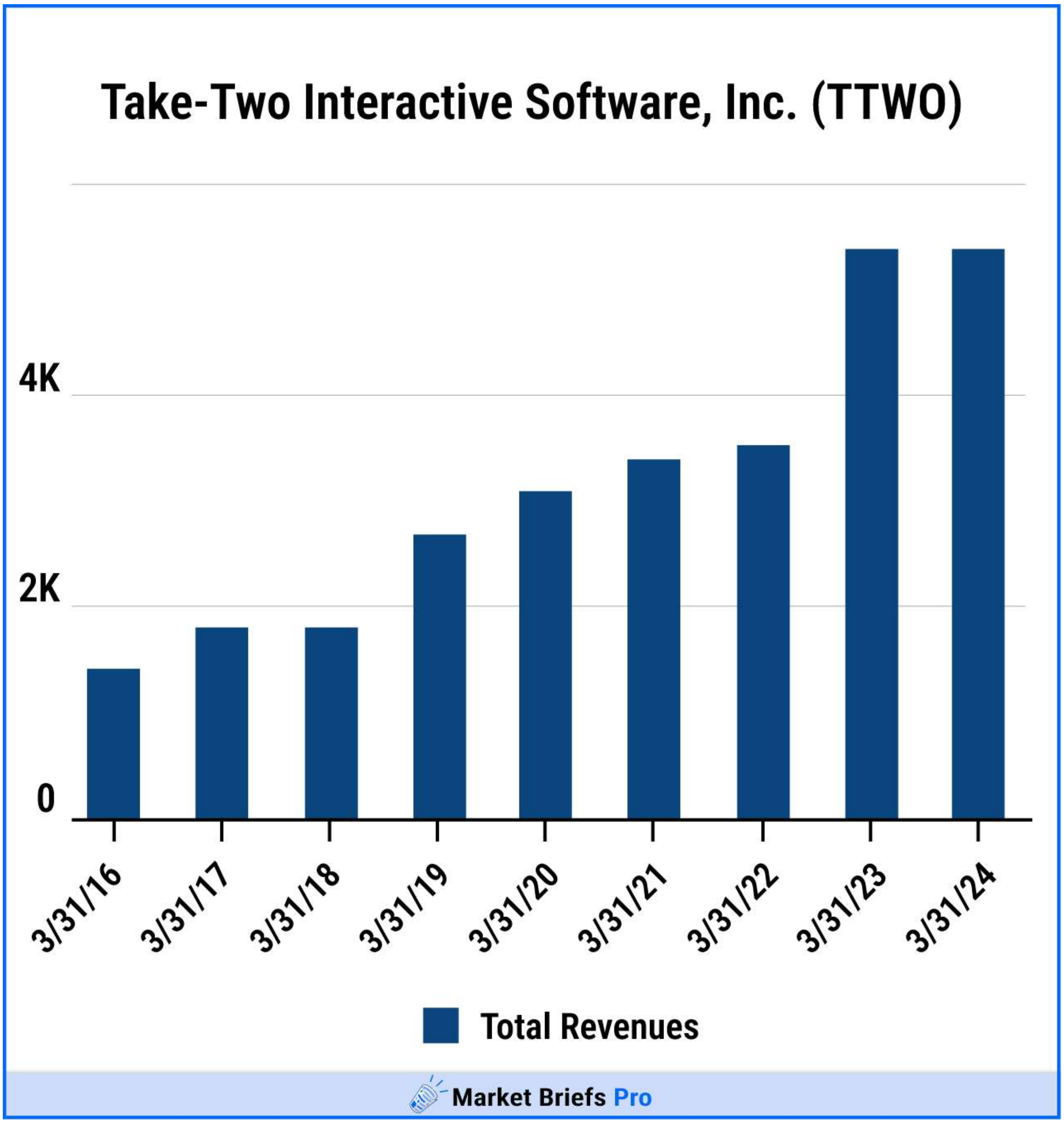
- In February 2021, the PIF acquired 5.4% of Take-Two Interactive, an estimated investment of $826 million.

The announcement of this deal and the acquisition brought company shares to a then-high, despite not having a major IP release since 2018.

Data via Yahoo! Finance

The PIF's ownership stake was increased to 6.8% in 2022, as it purchased an additional 3 million shares. This caused another spike in Take-Two's share price, and the company has seen steady growth since.

While its stock price has shown to move alongside Saudi investment, its revenue tells a different story.



Data via TIKR

- Company revenue grew alongside product releases.

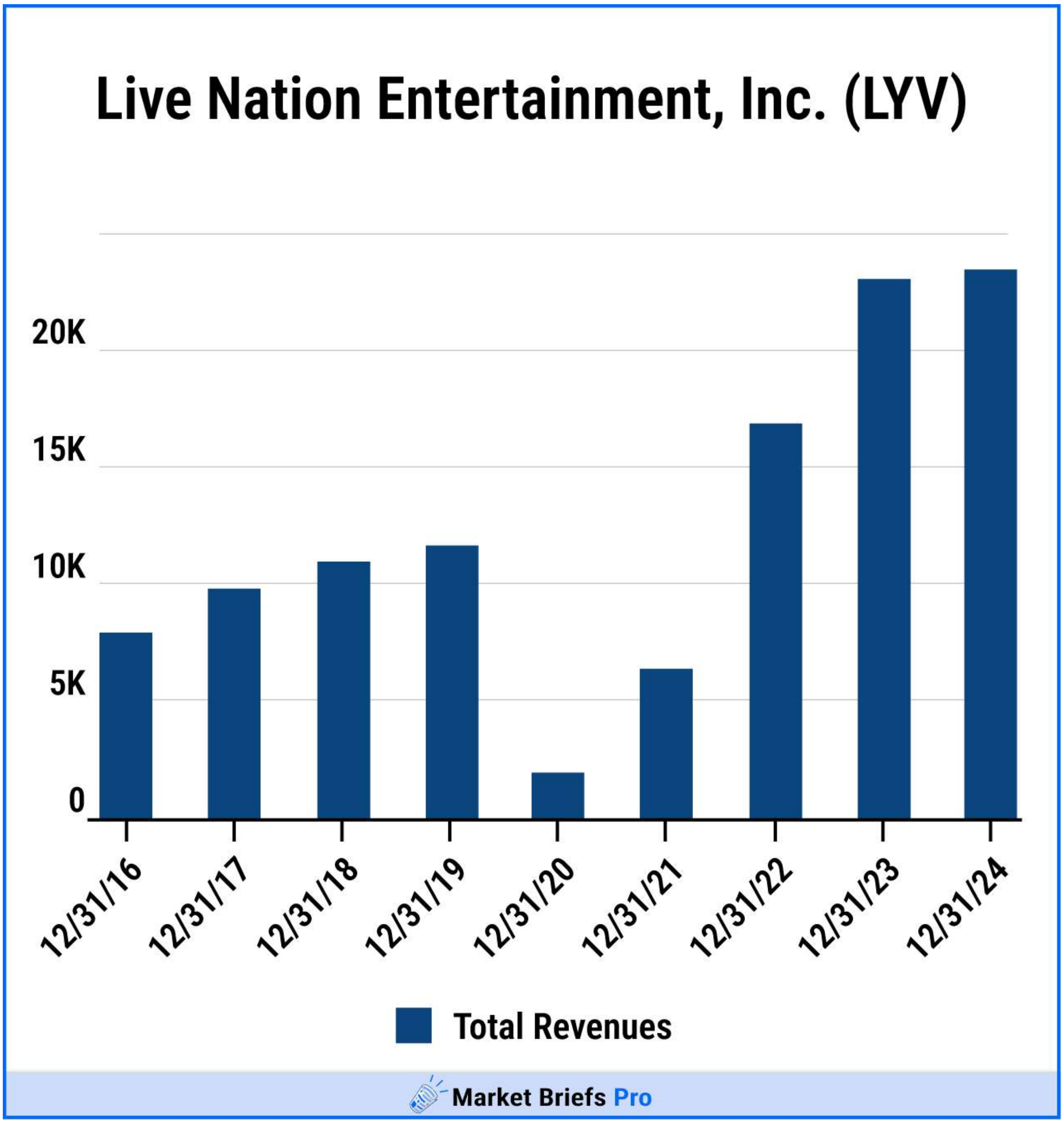
- Company share prices grew alongside PIF investments.

And Take-Two isn't the only entertainment company being boosted by the PIF.

Live Nation Entertainment (LYV) is the largest live entertainment company in the world and is often considered to have a monopoly in the industry after its merger with Ticketmaster.

- The PIF acquired a 5.7% stake in Live Nation in April 2020 during the earliest stages of the COVID-19 pandemic.

Most entertainment companies struggled during the pandemic, and Live Nation was no different.



Data via TIKR

- Live Nation's total revenues dropped from $11.5 billion in 2019 to $1.8 billion in 2020.

But despite plummeting revenues, company share prices flew upwards.

Data via Yahoo! Finance

The catalyst for this rise? That PIF investment - this time boosting share prices out of the red.

- In November 2024, the PIF revealed it had completely divested from Live Nation, with share prices more than tripling since the initial acquisition.

We see a similar story playing out with the share and revenue cycles of other PIF entertainment investments such as Electronic Arts.

The bottom line: A SWF's interest in an entertainment company can overshadow that company's performance, sending share prices upward in both the short and long term.

What can we learn from this?

The U.S. government has a long history of working with the entertainment industry to boost public opinion.

Often referred to as the “military-entertainment complex” or “copaganda,” movies and television shows that support “American values” have received equipment, technical assistance, and even funding from the government.

One of the biggest beneficiaries of this government spending has been Paramount Global (PARA).

Paramount has received notable assistance on several major projects, including:

- Top Gun and Top Gun: Maverick
- NCIS
- The Transformers film series
- The Jack Ryan film and television series,

And many *many* more.

Data via Yahoo! Finance

Paramount share prices are doing extremely poorly, currently down 56% in the last five years, and mostly flat after a crash in 2021.

However, if a U.S. sovereign wealth fund chooses to pursue entertainment to boost its image, Paramount seems a likely target, and its shares could outperform company revenues.

TRANSPORTATION

Importing Infrastructure

Another common motive for SWFs is to invest in infrastructure and development.

The PIF has a strong focus on the automotive industry:

- It estimates that 80% of investments in this industry will be from private entities.
- The PIF aims to make Saudi Arabia a global leader in logistics and transportation.
- It seeks to develop transportation technology in larger nations to then import.

Data via KSA

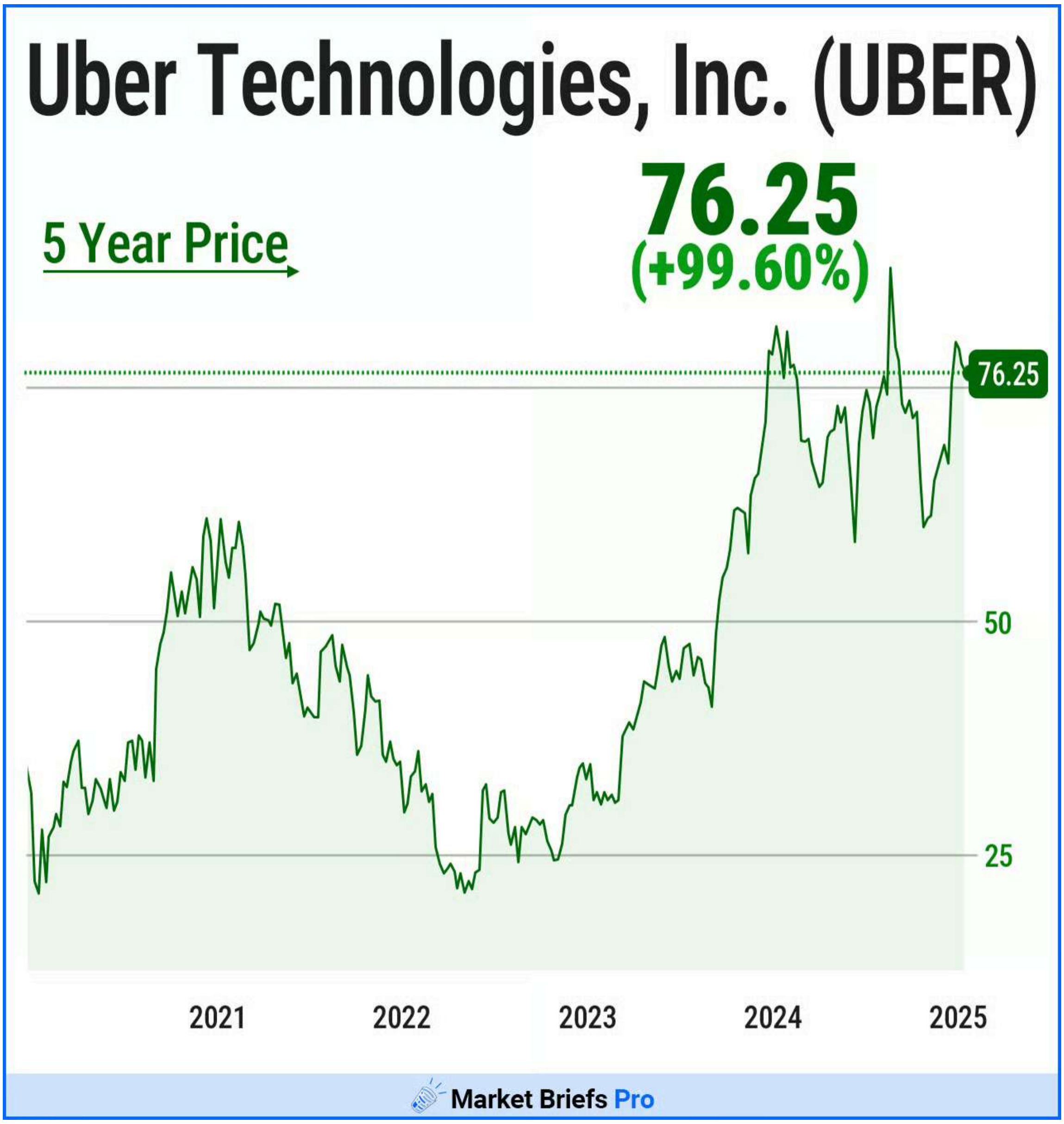
In 2016, Saudi Arabia debuted its strategic plan, Vision 2030, alongside a $3.5 billion investment in rideshare app Uber (UBER), netting it 5% ownership in the company.

Then: In 2016, Uber was private and the investment was part of its Series G funding round.

Now: Uber trades just over $76 a share, and the PIF's stake is worth an estimated $7.75 billion.

Considered a bold choice at the time, the PIF investment was going into a startup that was quickly burning money.

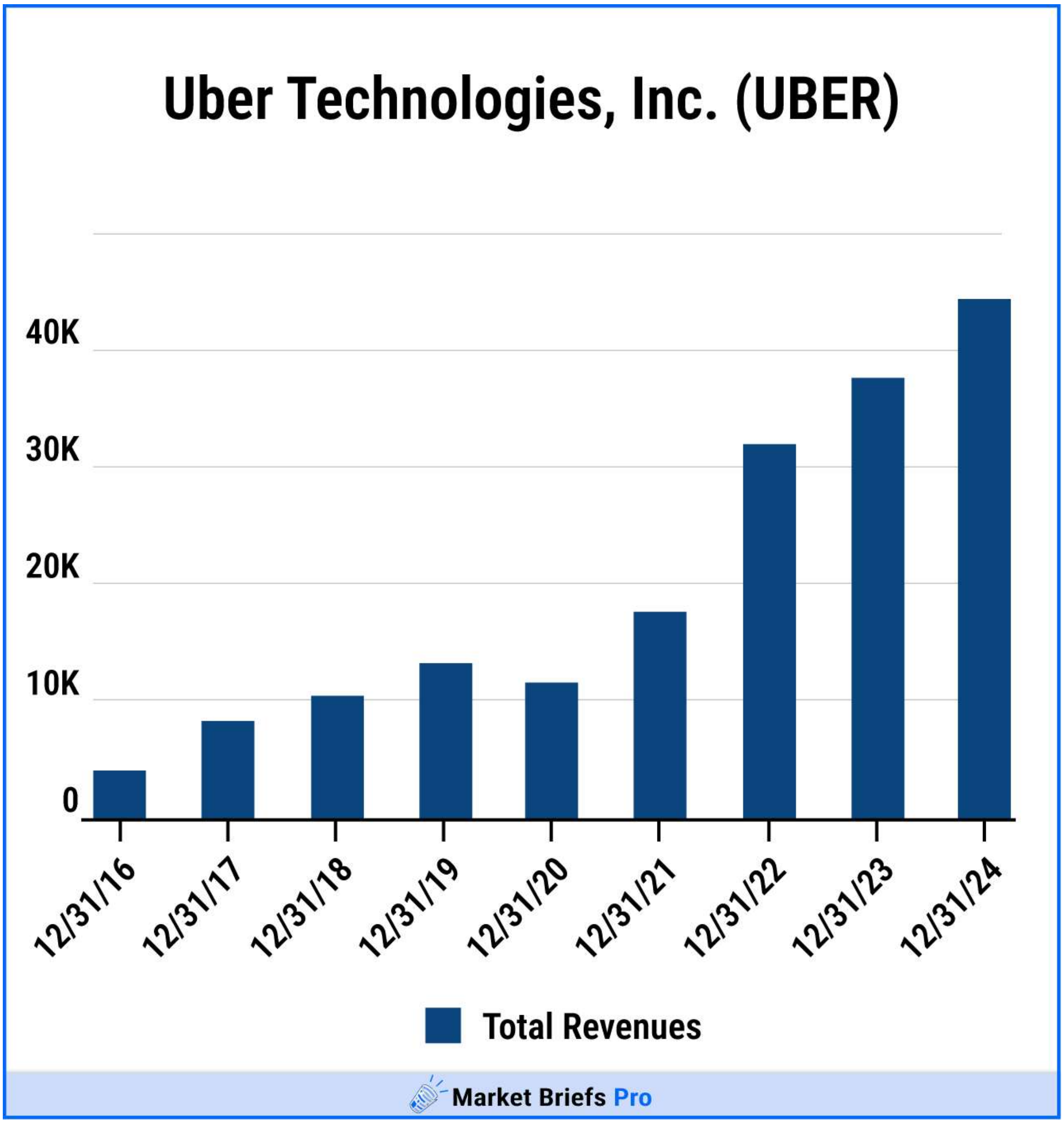
However, this money helped Uber get to its IPO, and eventually scale to profitability.



Data via Yahoo! Finance

Uber's share prices have more than doubled since the company's 2019 IPO and have shown significant growth since 2023.

Revenue for Uber started to see some level of growth after receiving the investment, but remained relatively low until the company reached profitability.



Data via TIKR

- Uber's revenue was just $3.8 billion in 2016 when the PIF made its initial investment. As of 2024, it's just shy of $44 billion.

In addition to value, this has paid off in other ways - namely Uber has grown with the Saudi market being one of its largest hubs and has been extremely compliant with Saudi regulations.

In 2020, Uber announced it was implementing part of a Saudi nationalization plan and would make sure a mandated amount of its employees were Saudi citizens.

While Uber may be the largest success story of the PIF funding a transportation startup, it's far from the only one.

More recently, the PIF has been turning heads by acquiring a majority ownership stake in the American EV company Lucid Motors (LCID).

- In 2018 the PIF invested over $1 billion in Lucid.

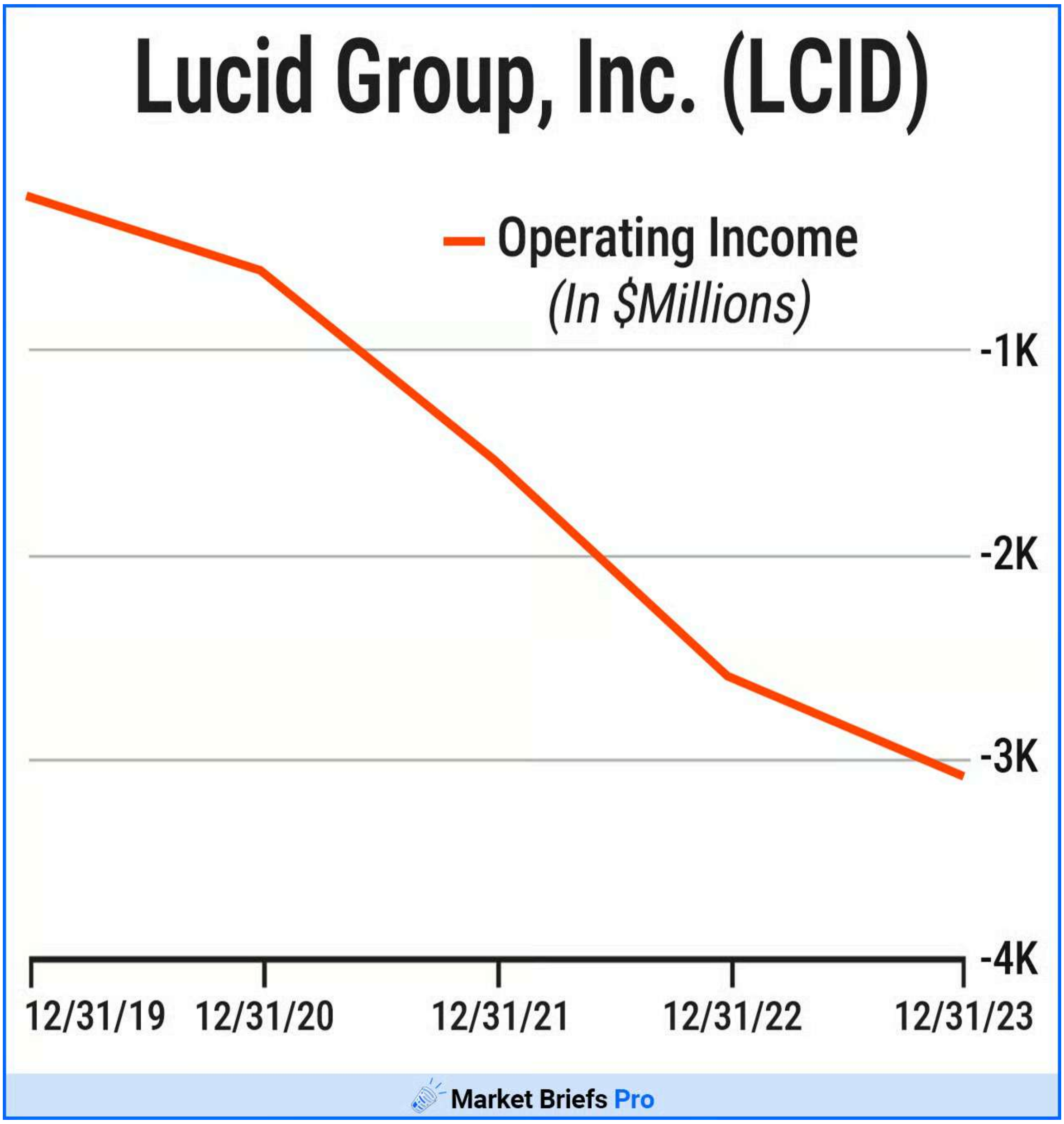
- When Lucid IPOd in 2021, the PIF's ownership was listed as 60%.

- Amid Lucid facing financial difficulties, the PIF agreed to purchase an additional $1 billion in stock.

- In early 2025, the PIF purchased an additional 400 million shares, bringing its ownership stake to 75%.

By being an electric vehicle company, Lucid fits two of the PIF's major goals - establishing Saudi Arabia as a global leader in the auto industry, and diversifying away from the country's dominant oil industry.

But there have been a few bumps along the way.



Data via TIKR

- Lucid missed production goals in 2022, failing to deliver on its initial commercial product.

- Lucid has burned through more cash than expected each year, and as of its last report has an operating income of negative $3 billion.

Lucid's share prices have continued to struggle, down nearly 8% in the past year, and 72% since its IPO.

But it may not matter: Through the PIF, the company has secured enough funding to develop its next few products and plans on debuting multiple vehicles by 2026.

But rather than cut and run, the PIF has only increased its cash investments and ownership of Lucid to further its goals.

Data via Yahoo! Finance

What can we learn from this?

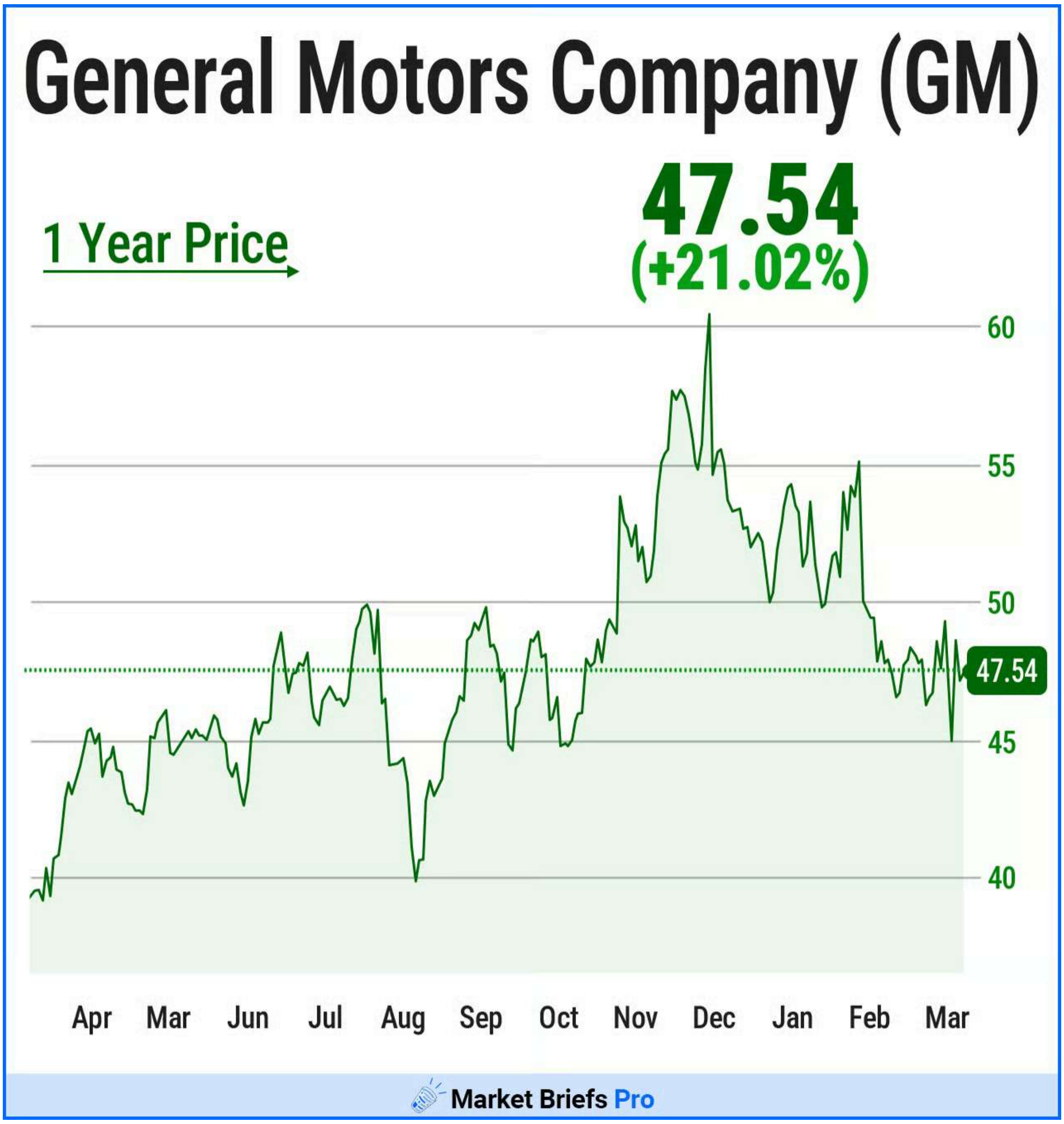
The U.S. government may want to become involved in the automotive industry, as the country was once seen as an automotive leader, but that status has quickly begun to fade.

And the government has a precedent for acquiring ownership stakes in American automotive makers.

When? In 2009, the government acquired a **60%** ownership stake in General Motors (GM) through the Troubled Asset Relief Program (TARP).

That program was designed as a bailout to help the company through the Great Recession, and the government made a full exit in 2013.

But GM remains a solid prospect for a future government acquisition.



Data via Yahoo! Finance

The automaker has a long and close relationship with the U.S. military and many civilian agencies, producing both custom military equipment and government vehicles such as cars for the Postal Service.

The company also has strong ties to both traditional combustion engine vehicles and the expanding electric vehicle market and would be a solid investment in both fields.

General Motors is currently profitable, but there's a strong case that a U.S. SWF might purchase shares of it on the open market.

RISKS

Gaps in Government Knowledge

While there's good data about the long-term performance of investments by funds like the PIF, tracking any SWF comes with certain risks.

There will always be an information gap between the investor and the fund.

While large ownership stakes will always be reported through SEC Schedule 13, investors don't have access to the same research and reasoning as fund managers.

SWFs also don't disclose all of their investments, typically only making major public announcements, or revealing investments through mandated SEC forms.

A country's goals could also change - this also applies to any attempt at trying to predict movement from an upcoming American SWF.

And just because these are stated goals from the Saudi PIF, it doesn't mean we will see the same goals from an American fund.

So once more - what can we learn from this?

Investors looking to be as prepared as possible for a U.S. fund can take a few steps.

First: Look at the long-term goals of the United States, the kind of mission statements that last through multiple administrations (i.e. continued dominance of the U.S. dollar as a global reserve currency).

Next: Look at any clear and urgent goals of the current administration. Are there any industries that the White House has made a clear intention to influence?

Finally: Take these goals and search for any historical examples. Does the government have a history of working closely with any companies? What acquisitions could help further these goals?

Right now, all we can do is speculate. But with intelligent and targeted research, investors can better prepare for an eventual fund.

REVIEW

Research, Not Speculation

While planning for a U.S. SWF is speculative, the Saudi PIF presents an actionable shift here and now.

The fund has shown itself willing to take losses, or continually funnel money into organizations until they are profitable, as long as those organizations support one of their greater goals.

By keeping a close eye on PIF investments, investors may be able to get on the ground level of companies looking to scale up on a blank check.

The same research and logic will likely apply to an eventual U.S. SWF, and shrewd investors may quickly find themselves with the wealth of nations.

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